Credable: Loan Limit Optimization Strategy

1. Strategic Pivot

Analysis revealed the Fixed Fee model ($40/increase) is non-viable due to compounding risk, resulting in a negative NPV of -$187 per Prime customer. We recommend transitioning to a Risk-Based Revolving Model (APR) to scale revenue with exposure.

2. Risk-Based Pricing (RBP) Tiers

Segment	**Breakeven APR**	**Recommended APR**	**Target Margin**
Prime	2.02%	7.0%	+4.98%
Near-Prime	2.73%	10.5%	+7.77%
Subprime	4.39%	14.4%	+10.01%

3. Resilience & Compliance

- Stress Testing: 5% risk increase only shifts breakeven floor by <0.25%.
- Regulatory: Projected loss rate of 2.04% is well below the 5% cap.
- Capital: $9.9M required for 30k customer pilot.

4. Operational Guardrails

- Mandatory behavioral nudges for 15% risk reduction.
- Eligibility restricted to 60+ days non-default tenure.
- Max 6 increase cycles per customer.